



AMERICAN FORK CITY COUNCIL
FEBRUARY 20 AND 21, 2025
BUDGET WORKSHOP MINUTES

Members Present:

Bradley J. Frost	Mayor
Staci Carroll	Council Member
Ryan Hunter	Council Member
Tim Holley	Council Member
Ernie John	Council Member
Clark Taylor	Council Member

Staff Present:

David Bunker	City Administrator
Camden Bird	Assistant City Administrator
Terilyn Lurker	City Recorder
Derric Rykert	Community Services Director
Patrick O'Brien	Development Services Director
Anna Montoya	Finance Director
Aaron Brems	Fire Chief
George Schade	IT Director
Cameron Paul	Police Chief
Sam Kelly	Public Works Director

The American Fork City Council met in a budget workshop on Thursday, February 20, 2025, at 4:30 p.m. and on Friday, February 21, 2025, at 8:15 a.m. at Fox Hollow Golf Course, 1400 North 200 East.

Thursday, February 20, 2025 at 4:30 p.m.

David Bunker welcomed everyone to the meeting, noting this is an important meeting for the city's future planning. He explained there are various items they will discuss, to which they will have different opinions. However, they will work together to come to a consensus on the direction and vision of the city. Mr. Bunker further explained they start each year from scratch with the budget and look at every dollar allocated. There will be work sessions where staff will go over each fund with the council. He stated this afternoon they would go over the survey and fiscal year 2025 updates, followed by dinner.

COMMUNITY SURVEY

Camden Bird stated that Christina Tuiaki was instrumental in compiling and analyzing the data. He explained the survey was done completely online in December, where 1,725 responses were

received, which was approximately 4% of the population. The survey included 21 questions and averaged about 7 minutes to complete.

The Quality of Life in American Fork was like previous years, with 88% of the respondents happy with the quality of life. As with the quality of life, the age of the respondents was like last year with most of the respondents living in the north. There were several findings from the reasons to live in American Fork by age. The younger people care more about affordability and entertainment, middle age care more about work. And the older respondents care more about family and safety. One commonality was that they all care about family, safety, and community.

When asked about their capital project preferences, the responses were: new fitness center, more parks and recreation spaces, a third fire station, and accessibility to Frontrunner. Mr. Bird noted that the fitness center came up frequently in the comments of the respondents.

Council Member Carroll commented that she felt they have put a lot of efforted in communication. Mr. Bird explained that when asked how they could improve communication, most of the responses were items the city was already doing. The city has many avenues to get information out to the citizens such as the city website, newsletter, text, and social media.

FY 2025 STRATEGIC GOALS UPDATE

Mr. Bird explained the strategic goals started July 1, 2024, and will end this June. The goals were: fiber, general plan update, facilities master plan, and downtown revitalization.

Fiber. The high-level design was complete with the mid-level design 80% complete and low-level design pending. They will be looking at how to roll it out.

General Plan Update. Patrick O'Brien explained they were awarded funding from MAG for the general plan. The high-level concepts were brought before the council a few weeks ago.

Facilities Master Plan. This goal was to develop a facilities master plan that incorporates the city's growth needs. They have identified public works, fitness center, and fire station as areas of concern. The police department has taken over the 3rd floor of the police/courts building. The city has been working on property acquisition to address the needs of public works.

Downtown Revitalization. M. O'Brien stated they explored a couple of options last year. They were looking at obtaining land downtown, and they are exploring future development. This has been ongoing and will continue to be ongoing as they address many issues.

FY 2025 CIP STATUS UPDATE

Anna Montoya went over the summary of capital projects by type and funding source. She noted that road projects were over 50% of the projects by type, followed by water/irrigation, community services, sewer/storm drain, general projects, and public safety. The main sources of funding included bond proceeds, utilities, general fund, impact fees, grants, and CRA.

Ms. Montoya went over the project status for each department.

Community Services. The improvements at the boat harbor were underway. The lights and dugouts were in progress at Rotary Park. The city obtained the title for the 30-acre parcel on the south side of town.

Roads. The 200 South Phase I Frontage Road to 570 West project was completed, including the roundabout. The second phase for 200 South was pending property acquisition. The 200 South 300 West roundabout was under design, but the concern for traffic flow and how it would affect the residents has been noted. The Automall Drive connection was under design. The city will be awarding the construction bid for the 100 West Improvement project at the next meeting. Other projects in process included the 700 North Connector, 1100 South 500 East roundabout, Lakeshore Drive, and 1500 South 860 East traffic signal and widening.

Water/Irrigation. Ms. Montoya stated the 36" waterline project and the 100 East waterline improvements were complete. The PI Metering Phase 3 had an anticipated completion date of May 2025. She noted the water rate study may need to be held off pending potential legislation that may be approved this year that would affect the study.

Sewer/Storm Drain. The American Fork River repair as the Golf Course and Boat Harbor Road was in process. The slip lining/bursting project was pending the design, and curb/gutter improvements throughout the city were ongoing.

FY 2025 BUDGET STATUS UPDATE

Revenues. Ms. Montoya indicated they compared this year to last year to give a comparison of year to date, and the total increase in revenue was approximately 7%. Ms. Montoya stated that they did anticipate a lower revenue for building permits. The city has received 95% of the property tax anticipated for the year. She explained that taxes are most of the revenue, with the rest being charges for services, lease payments/fee, transfers, licenses and permits, and intergovernmental.

Ms. Montoya went over the sales tax history by month, noting it had been hard to predict this year. Ms. Montoya indicated she has not heard that a recession is on the cusp and that the economy should stay strong this year, however, that can change.

Ms. Montoya went over the property tax history, pointing out there have only been two years when the property tax was increased. Any increase in property tax revenue is due to growth.

Expenditures. Ms. Montoya went over the expenditure by type and department. For the General Fund, personnel were the largest expenditure, but capital expenditure was the largest from a city-wide perspective. She noted that the city-wide expenditures were more of a reflection of what the expenditures are. Public Safety consumes most of the expenditures by department. When compared to last year, the expenditure was up by approximately 12%, which was anticipated.

Debt Service Funds. Ms. Montoya highlighted where they were with the each of the bonds. The 2015 and 2016 GO Bonds for the pressurized irrigation system will retire in FY 2035. The 2018 Sales Tax Revenue Refunding bond was for the Art Dye Park completion and cemetery expansion projects, and it would be retired FY 2028. Station 52 GO bond will retire in FY 2038

and is paid through property tax. The 2020 Water Revenue Bonds will retire in FY2052 and was for the 36" waterline project to the TOD. The 200 South Tax Increment Revenue Bond was paid through CRA Tax increment and was set to retire FY 2047.

PARC Tax Fund. The city has received over \$12 million since July 2015. They are anticipating \$1.5 million in allocations to PARC tax for disbursements this year.

Fitness Center Fund. Ms. Montoya went over the revenues vs expenditures for the fitness center, pointing out that the gap is getting wider between the revenues and expenditures. It was explained the capital projects were paid for out of the capital projects budget and that most of the surrounding fitness centers do not bring in more revenue than expenditures.

Capital Projects Funds. This was for mostly roads, which the city does track the revenue as well as the expenditure. The Class B/C revenues were up 26%, and an additional \$500,000 is anticipated with the new 5th/5th sales tax and use tax effective January 1, 2024. Ms. Montoya noted that road was 75% of the governmental (non-utility) capital projects. Those projects include the 200 South project, 100 West upcoming project, the roundabouts at 200 South 300 West and 100 East 200 South, infrastructure management, 200 South Bike/Pedestrian path, 700 North Connection, and the Boat Harbor improvements.

In the water funds, the rates have not changed, so the increase the city sees is due to growth. The sewer/storm drain revenue increases were also due to growth and the increase in TSSD fees. The storm drain fee increase in 2024 was pushed to 2026.

The Thursday budget workshop ended at 5:45 p.m.

FRIDAY, FEBRUARY 21, 2025 AT 8:15 AM

Mr. Bunker welcomed everyone to the meeting at 8:15 a.m. He reiterated that they budget conservatively every year, so they are better prepared for any slowdown of the economy. He stated that Ms. Montoya has done a wonderful job with the budget, and they anticipate a tight budget again this year.

UTAH STRATEGIC HOUSING PLAN

Mr. Bunker started the discussion by reading a comment Governor Cox made regarding affordable housing. Mr. Bunker explained that there were 35,000 fewer homes than needed to meet today's demand, which will exceed 54,000 by 2035. The state has come down to cities to get more housing. The governor's goals include 150,000 new housing units by 2028, with 35,000 of them being new starter homes and 40,000 being in "regional centers". Mr. Bunker calculated that American Fork would need 394 new starter homes and a total of 1905 new units to meet American Forks portion of the Governors goal based on city population vs state population. It was noted there are state laws that require cities to approve housing permits and projects on tight timelines, and the city has had to adjust with timelines and moving projects forward.

There was a discussion on the issues that were driving up the cost of homes, such as the cost of land. The newly constructed townhomes and small homes built on the south side of town cost more than what people paid a few years ago. With the cost of land, developers are looking at how many units per acre they can build. Other issues included the size of property and parking. With parking requirements, transportation was an issue, and the state needed to be prepared to increase mass transportation options if they want to reduce parking requirements. Remote work also affects housing, and as more companies are no longer allowing remote work, people will not be able to live in rural areas when they work in urban areas.

It was noted that residents are worried about the growth already. While most residents talk about single family homes, they mean detached homes and not attached. They also wanted the housing affordable, but new starter homes are not affordable. The goal of the governor is to have smaller lots and housing valued under \$450,000. With the goal to keep housing under \$450,000, the question was who would absorb the cost.

Mr. Bunker stated he has asked Development Services to keep track of all the single-family homes newly constructed from January 2025 forward to show that American Fork has done our part by December 2028.

The issue of having adequate water was brought up. With living in a desert, having adequate water was a big concern.

GENERAL PLAN, STATION AREA PLAN

Mr. O'Brien went over the current statistics of the city and what some of the city's needs were. In 2020, the census population was 33,337, but there were 4873 new units built between 2020 and 2024, driving the population up to 45,335. Mr. O'Brien explained they track the number of building permits, and this year they are lower than what has happened over the last few years but there are a lot of concept plans that are being looked at right now.

Economic Needs. The city will need to address the balance of growth with the need for more retail and commercial development. If they do not balance growth, they will end up having more residents without the ability to address their basic needs and losing tax dollars to the neighboring cities. Downtown is important to the community, as it is the heart of the community. One thing they are hoping for is to attract new companies.

General Plan. This serves as the city's long-term blueprint for growth, development, and sustainability, which needs to be addressed periodically. It aligns the city goals with current and future community needs, ensures compliance of state and regional regulations, and provides the foundation for zoning, infrastructure, investments, and public services.

Station Area Plan. A Station Area Plan guides development around the American Fork FrontRunner Station. This plan promotes smart growth and transit-oriented development while ensuring efficient land use, infrastructure, and mobility. They are hoping to bring the final plan back to the city council by summer so they can move forward. The benefits are improved transportation and mobility, economic growth and development, housing and community

enhancement, and sustainability and quality of life. With the Station Area Plan, they are hoping to create a walkable community.

There was a break from 9:20 a.m. to 9:55 a.m.

DEPARTMENT DISCUSSIONS

The next discussion topic was the 5-10-20 Year Outlook. The next decade would be critical pertaining to the population impact, which will be the biggest push in growth until buildout. While new growth brings new revenue, it also adds costs and affects resources, personnel, space, equipment, technology, infrastructure fleet, and physical aspects. Two primary areas are the increased need for additional employees and additional space.

Police. Chief Paul sent over the needs of the Police Department. As previously stated, personnel were important. He noted that Lehi City intends to hire ten new officers, which will affect American Fork. There are three key issues the department is facing: organizational health, space, and increased cost. The organizational health of the department is important, as they are fighting the wage battle to try to keep officers from going to other jurisdictions for more money. Mental health is also important, and they appreciate the city's support with that. The need for mental health assistance is important, and the council felt that assistance was vital to the personnel. The police department needs space, and although they have taken over the 3rd floor of the police/courts building, they will still need to address office space and parking space. The third issue was the increased cost in fleet, general equipment, and technology. There is a 48% increase since 2021, with a 60% increase in equipment for the fleet. That increase in cost affects everything. There is new technology coming out, but that is also an added expense. They are trying to be innovative with what they do to save money.

Fire. Chief Brems stated there is a lot of competitiveness with employees. Culture is important, and when there is a good culture then employees are willing to stay. The employees also know that the council support them. Another concern is the costs of fire apparatus, which have increased between 50% and 100% as well as the construction time going from 8 months to 18 months. It was hard to plan for replacements. Chief Brems noted the gear must be replaced every 10 years as well. The Fire Department is doing what they can to cut costs as well. Another concern for the Fire Department was space. They need to start looking at Station 53 and will need to consider a remodel or addition to Station 51 as more space is needed. Chief Brems noted it will take 15 employees to staff a new station, and that will have a huge impact on the budget. With an addition to Station 51, the size would need to be about 4,000 square feet. If Station 53 were to be built sooner rather than later, the addition could wait until further down the road and may not need to be as large. Station 53 would need to be large enough for double coverage as they will need the added ability due to the large increase in population. There are a lot of considerations and challenges when responding to an area with high density.

Public Works. Sam Kelly stated that like the public safety departments, they are running out of space for equipment and for increased personnel. They need to be able to maintain the level of services. They need increased workforce, fleet, and property for expansion. The infrastructure is aging and that needs to be addressed, as well as the master plan. They have submitted a request

to access the water and there are 4 groups protesting; that would ensure the city has the needed water in perpetuity.

Technology/Fiber. Again, the key issues are with growth. Some of the needs of technology are to move the network operations center, bring IT in house in ten years, department vehicles, replace the network, and a cybersecurity firm contract in ten years. They need to evaluate whether to contract employees or bring them in-house. They need to consider replacing the network cabling at Public Works, the Fitness Center, and library. Resources to consider are expanding fiber to new buildings and upgrades to buildings.

Finance. Ms. Montoya stated there are internal and external customer service and transparency needs. They are in the process of budget software implementation, which has been challenging. The Financial Software Upgrade is a multi-year program. They need additional personnel to help with that process. With meter readings coming up, they will be starting to read meters monthly, which is 12 times the work and additional staffing is needed. They have great staff and work to support all departments.

Administration. Mr. Bird stated Administration was doing well. He noted that Christina Tuiaki has been great to help with projects that have been on the back burner, and he is grateful for our communications team and hoped everyone has noticed a difference. Mr. Bird stated there is a new Human Resources manager, and that the department will need to grow in the future. They may need to increase personnel in the future with communications as well. The city needs to have someone monitoring the legislative session, as there are many different bills that could affect municipalities. One issue that the Administration is facing, like all other departments, is the limited space for personnel.

There was a discussion on the communication efforts of the city and the numerous ways information is used to get important information out there.

Community Services. Derric Rykert explained the key issues facing Community Services, is the need for increased personnel, park growth, cemetery space, and maintenance demands on staffing. There are about seven years left for the sale of cemetery lots, and they need to put a long-term plan in place. If they expand further south, that will give them an additional 500 spaces, or approximately three and a half years. The Parks Department has been amazing; they have the 30-acre parcel on the south side of town in addition to a couple of 5-acre parcels to get parks and trails on the south side of town. Parks personnel have been able to accomplish a lot with the limited number of employees. The Fitness Center was at a point where a decision needed to be made on a plan moving forward. If they were not going to move forward, they could make necessary plans for what they have. Mr. Rykert noted the city would have the room for a fitness center expansion, but a decision would need to be made. The citizens have expressed their desire for an updated, expanded fitness center. They also needed to discuss the impact the non-residents had on using our facilities and recreational activities.

Development Services. They want to promote the economic development and be proactive in getting additional companies to come to American Fork. They have a focus on long-range planning and plan implementation. There is an increased need for planning and building

enforcement in cooperation with the police department code enforcement officer. Mr. O'Brien explained that development was different than what it was years ago; it was more complex with many different issues that needed to be taken into consideration. It was important to keep one staff member involved in a development from start to finish. He felt that customer service was important, and he has been working to improve interactions with the public and developers by continually working and improving on their processes. They are also struggling with office space. Currently, they are coordinating time with various departments for meetings; they need more interactive meeting space in the building.

Debt Capacity. In general, the debt incurring capacity is great, although that doesn't mean the city wants to or should incur debt. The biggest capacity is the GO bond, which would need to go on the ballot.

BUDGET OUTLOOK FY 2026

Ms. Montoya explained that as they start the budget process, they look at the historical trends and then they budget conservatively. She noted the expenditures are outpacing revenues, so they need to be careful. If there is any excess revenue, that will go into the capital projects. Ms. Montoya went over the general fund history, revenues, and expenditures by type and by department. She noted that personnel have the highest expenditure, and when those costs rise, other expenses must be cut. With the new Station 53, that will affect the expenditure.

Ms. Montoya went over the Fitness Center revenues vs. expenditures, noting the Fitness Center is subsidized by the general fund.

Budgeting Methodology. They do have a balanced budget each year, and they are conservative with the estimates. The city does start with a zero-based budget, and then prepares the budget based on priorities.

Budgeting Factors. Something they need to consider is what to do if the costs are higher, such as cutting the level of service or increasing revenues through taxes. A lot goes into the budget process and the department directors recognize the needs of all the departments. She thanked the council for being supportive of staff.

When asked if there was any concern that expenditure will exceed revenues, Ms. Montoya responded that they do track that and make sure they do not exceed the revenues.

There was a discussion about property taxes and potential property tax increases. One of the main comments from the residents was that they preferred smaller increases more regularly rather than a larger increase at once. It was noted there were several cities that were implementing small, regular property tax increases.

FY 2026 CAPITAL PROJECTS OUTLOOK

Funding Future Capital Improvements. Each year, the department directors submit their budgets, and as expected there are more requests than funds available. This year, the total requests were over \$30 million for capital projects. The funding comes from impact fees, bond proceeds, new

debt, increase of user fees, certify or increase property tax, reducing programming and services to reallocated current resources, or using reserves.

Facility needs on the Horizon. There are five areas the city needs to keep in mind with facility needs: Fitness Center, Fire Station 53, Public Works Complex, Park Development, and Downtown Redevelopment

5-Year Improvement plan.

Community Services. This includes facilities maintenance, which there are many needs throughout the city. A decision needs to be made on the future of the Fitness Center, so they know if they should focus on repairs in lieu of improvements. Other items are designs for new parks, ongoing playground replacements, bubble replacement, pool resurfacing, and revolving equipment replacement.

Public Safety. The city should look at options for Station 51 expansion or temporary 53. Other items to consider are Station 53, ambulance and fire engine replacements, equipment replacement, and tenant improvements to 3rd floor of the police/courts building.

Road Restoration and Preservation. Ms. Montoya stated there were different options available for road restoration and preservation, such as high-density mineral bond, chip seal, overlay, full depth reclamation, and reconstruction. They need to prioritize the projects holistically.

Infrastructure. The water mains are aging and need to be replaced.

There are a lot of needs of the departments. Mr. Bunker explained that as they go through the process, they see there are more needs than dollars, so they must prioritize and make critical decisions. He hoped the residents understood how seriously they take the budget and the tough decisions that are made.

There was a break from 11:55 a.m. to 12:10 p.m.

FY 2026 STRATEGIC GOALS WORKPLAN

Mr. Bunker stated they can look at what their goals have been and decide whether to keep them on the list or take them off. They can also add anything if they determine they need to add any goals. Those present discussed the goals from last year and potential FY 2026 Goals. The goals for FY 2026 are:

- Roads
 - Maintenance
 - Communication
 - Connectivity
 - Lakeshore Drive to 1500 South
 - 700 North (100 East to 200 East)
 - 620 South
 - 700 West
 - 200 South expansion

- Fiber
- Economic Development
 - Downtown
 - Re-evaluate economic development strategy
 - Businesses on the south side
- Public Facilities
 - Public Works
 - Fitness Center
 - Fire Station 53
 - Fire Station 51 remodel
 - Police Department remodel of 3rd floor
 - Evidence at 52

Mr. Bunker explained that executive staff would now go over these goals and bring them back to the council for further discussion. Mr. Bunker thanked the Mayor and City Council for their dedication to the city and to the budget process. He also thanked the city staff for their input and collaboration.

The budget workshop ended at 1:10 p.m.



Terilyn Lurker, City Recorder